TUTORIAL 5

Trading Framework Series for Students

VWAP and Anchored VWAP

How to use volume-weighted reference prices without treating them as magic signals

Purpose

Students learn to use both session VWAP and anchored VWAP. The lesson explains VWAP as an intraday reference and anchored VWAP as a reference starting from an event, high, low, gap, or catalyst.

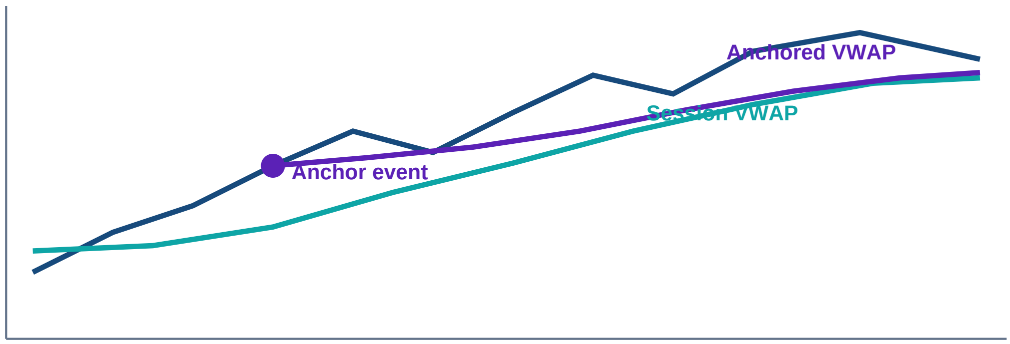
Prepared for student use. *Built from the May 13, 2026 lesson transcript and supplemented with current external references verified May 15, 2026.*

This tutorial is for education and process-building. It is not a recommendation to buy, sell, short, use margin, or trade any specific security.

Quick Reference

Use this page before opening a chart. The detailed explanations and worksheet follow.

Concept	Student meaning	Use in practice
VWAP	Average price weighted by volume, commonly used intraday.	Reference line for intraday trend/fair value.
Session VWAP	VWAP calculated for the current session.	Shows whether price is trading above/below current session value.
Anchored VWAP	VWAP starting from a selected point.	Use from high, low, gap, earnings, macro event, or important candle.
Entry context	VWAP can act like a magnet/reference, not a guarantee.	Pair with clean close, structure, and moving averages.

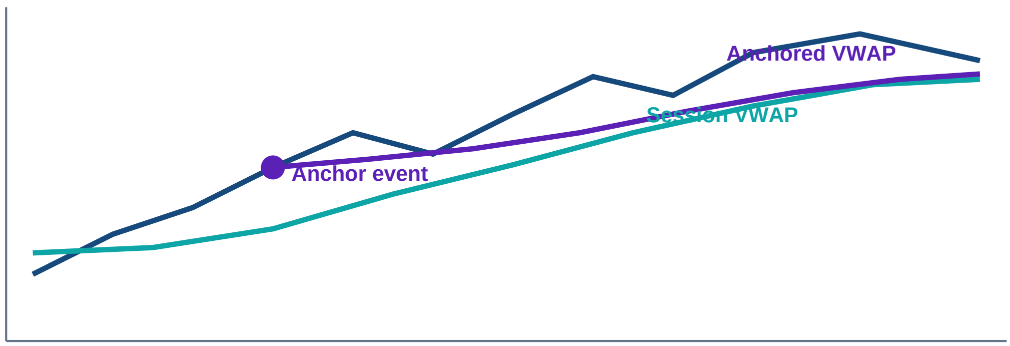


VWAP is a reference price. Anchored VWAP starts from a chosen event or price point.

The Lesson in Professional Language

The session repeatedly says that when VWAP is requested, the student should use both session VWAP and anchored VWAP. The instructor explains that an anchor is a price point, not simply a time period: high, low, or catalyst such as earnings or macro news.

TradingView defines VWAP as an average price weighted by volume and notes its common use on intraday charts. TradingView also defines anchored VWAP as VWAP starting from a user-selected point. These are the best external references for this lesson because they match the platform used in the session.



VWAP is a reference price. Anchored VWAP starts from a chosen event or price point.

Core rule

VWAP is a reference price. It does not replace strategy, structure, risk, or confirmation.

Session VWAP vs. Anchored VWAP

Tool	Starts from	Best classroom use
Session VWAP	The active trading session.	Understand intraday direction and whether price is above or below session value.
Anchored VWAP	A selected high, low, gap, news event, earnings event, or meaningful candle.	Measure price behavior after a specific event or structure point.
Both together	Session + chosen anchor.	Identify confluence when price reacts near both reference lines.

Choosing an Anchor

The anchor should be meaningful. A random click creates a random reference line. Students should anchor to a point that changed the chart: session open, premarket low/high, gap start, news reaction, earnings candle, major swing high/low, or the start of the breakout leg.

- Anchor from the lowest price before a gap-up when studying the post-gap move.
- Anchor from a major swing high when studying whether sellers still control the move.
- Anchor from a catalyst candle when studying the market response to news.

- Do not anchor from a random candle just because the line looks useful after the fact.

VWAP in the Entry Plan

The transcript describes an entry around VWAP or slightly above/below it, and also mentions waiting for a pullback to the 9 SMA. This should be taught as an execution concept after the strategy is already selected.

Scenario	What VWAP may indicate	Student decision
Price above VWAP	Buyers may be accepting price above volume-weighted value.	Look for pullback/hold only if regime and structure agree.
Price below VWAP	Sellers may be controlling intraday value.	Avoid long bias unless price reclaims with confirmation.
Price at VWAP	Potential magnet/decision area.	Wait for reaction: clean hold, rejection, or dirty indecision.
VWAP + AVWAP confluence	Two reference methods near the same zone.	Mark as important, then demand risk/invalidation.

Common Student Mistakes

- Treating VWAP as an automatic buy/sell signal.
- Anchoring after the fact to make the chart look cleaner.
- Ignoring the higher-time-frame close just because price touched VWAP.
- Entering the middle of the day without asking whether the session is liquid and active.
- Confusing session VWAP and anchored VWAP in notes.

Classroom Drill

Students choose one stock or ETF and plot session VWAP plus three anchored VWAPs: from session open, from the most important high/low, and from a catalyst or gap point. They must write which anchor price respects most clearly and why.

> **Instructor review**
>
> The student must explain why the anchor was chosen before discussing whether the line worked. Good anchors come from market events, not hindsight.

Student Worksheet

Where is session VWAP?

Is price above, below, or at session VWAP?

Where is the anchored VWAP placed?

Why is that anchor point meaningful?

Is there confluence between VWAP, AVWAP, SMA, and structure?

Did the higher time frame close cleanly around VWAP?

Where is the entry, stop, and invalidation if using VWAP as reference?

Review rule: *A worksheet is complete only when the student can explain the trade idea, the invalidation, and the reason the chosen strategy fits the current regime.*

Sources and Further Study

Session source. May 13, 2026 transcript: use both session VWAP and anchored VWAP at 1:43:57-1:44:55; anchor definition at 1:45:38-1:46:13; morning/gap anchor and VWAP entry discussion at 2:01:07-2:02:41.

External sources. These were selected to add neutral definitions, risk context, and professional vocabulary to the lesson. Use them as assigned readings, not as trade signals.

[S1] TradingView Help Center: Volume Weighted Average Price (VWAP)
How to use it: Use for the definition of VWAP as an average price weighted by volume and its typical intraday use.

[S2] TradingView Help Center: Anchored VWAP Drawing Tool
How to use it: Use for the definition of anchored VWAP as VWAP starting from a user-selected point.

[S3] StockCharts ChartSchool: Moving Averages - Simple and Exponential
How to use it: Use for basic definitions of SMA/EMA and how moving averages can support trend direction and support/resistance teaching.

[S4] Fidelity Learning Center: What Is Support and Resistance?
How to use it: Use for neutral language on support/resistance and the role reversal concept after a level breaks.

Important

Technical tools are context tools, not guarantees. Each student should paper-trade the workflow, record outcomes, and review losses before risking real capital.